Dual Horizon Short: monday.com Ltd. (NASDAQ:MNDY)

Current Share Price: $185.65
2026 PT: $165.46
Upside: 10.87%

William Seigler, Arnav Goel, Thomas Patterson

Executive Summary

monday.com

Company Overview

monday.com Ltd. (NASDAQ: MNDY) is a cloud-based Work Operating System that enables teams to build, automate, and manage workflows across business functions. The platform serves diverse use cases in project management, CRM, and marketing. In 2025, monday.com advanced its AI strategy with *monday magic*, *vibe*, and *sidekick,* tools designed to enhance productivity and scale global enterprise operations.

Management

Eran Zinman
Co-Founder & Co-CEO
Scaled monday.com's product from a team tool to a multi-product Work OS powering $1B+ ARR.

Roy Mann
Co-Founder & Co-CEO
Rebranded dapulse to monday.com and built its viral, self-serve growth engine.

Harris Beber
Chief Marketing Officer
Hired to bring his Google/Vimeo growth playbook to advance product marketing, and AI adoption.

Eliran Glazer
Chief Financial Officer
Guided public-company discipline while raising revenue guidance into the $1.22–$1.23B range.

Core Thesis

AI Overreach

monday.com's **overlapping** AI tools create complexity and confusion, undermining real productivity gains.

Upscaling Efforts Masking Slowing Adoption

monday.com's enterprise expansion and new product launches obscure signs of decelerating user growth and core platform adoption.

SEO Disruption and Marketing Spend

monday.com faces rising **customer acquisition costs** as search algorithm changes weaken its SEO-driven lead generation engine.

We're shorting monday.com due to its growth narrative being overstated—AI feature sprawl, slowing adoption, and rising marketing costs signal maturation and margin pressure, making its premium SaaS valuation unsustainable.

Products

- **monday** dev
- **monday** CRM
- **monday** service
- **monday** work management
- **monday** AI Agents (vibe, sidekick, magic)

Market Data

Current Price:	$185.65
Market Cap:	$9.50B
52- wk Range:	$166.22-$342.64
Beta 5Y:	1.23

Sources: monday.com Corporate Governance, Yahoo Finance

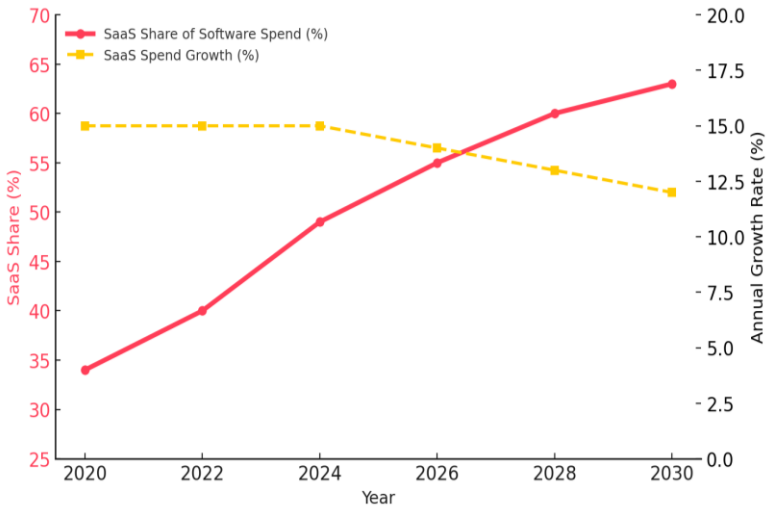
Industry Backdrop and Macro Landscape

The AI SaaS industry is becoming increasingly concentrated with small barriers to entry

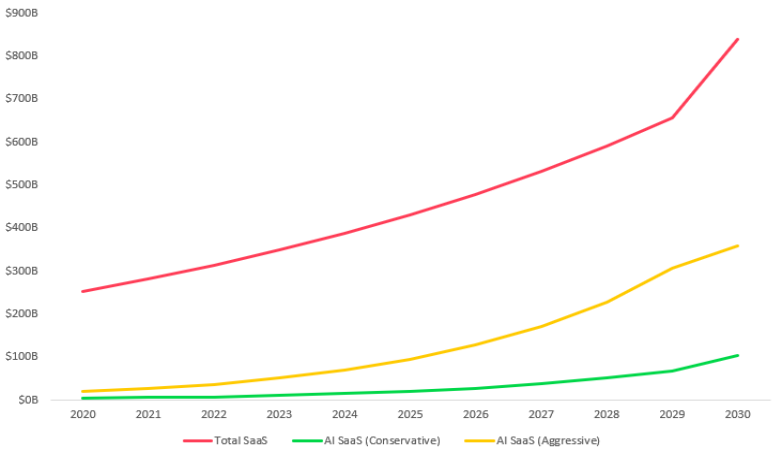
Competitive Landscape

Ticker	EV/Revenue	FCF Growth	Rule of 40
HUBS	7.4x	21%	36%
TEAM	6.6x	27%	47%
GTLB	6.8x	25%	43%
ASAN	3.9x	0.9%	-24%
CRM	5.7x	33%	42%
Mean	6.1x	21%	29%
MNDY	**6.2x**	**25%**	**49%**

Macro tailwinds: SaaS resilience



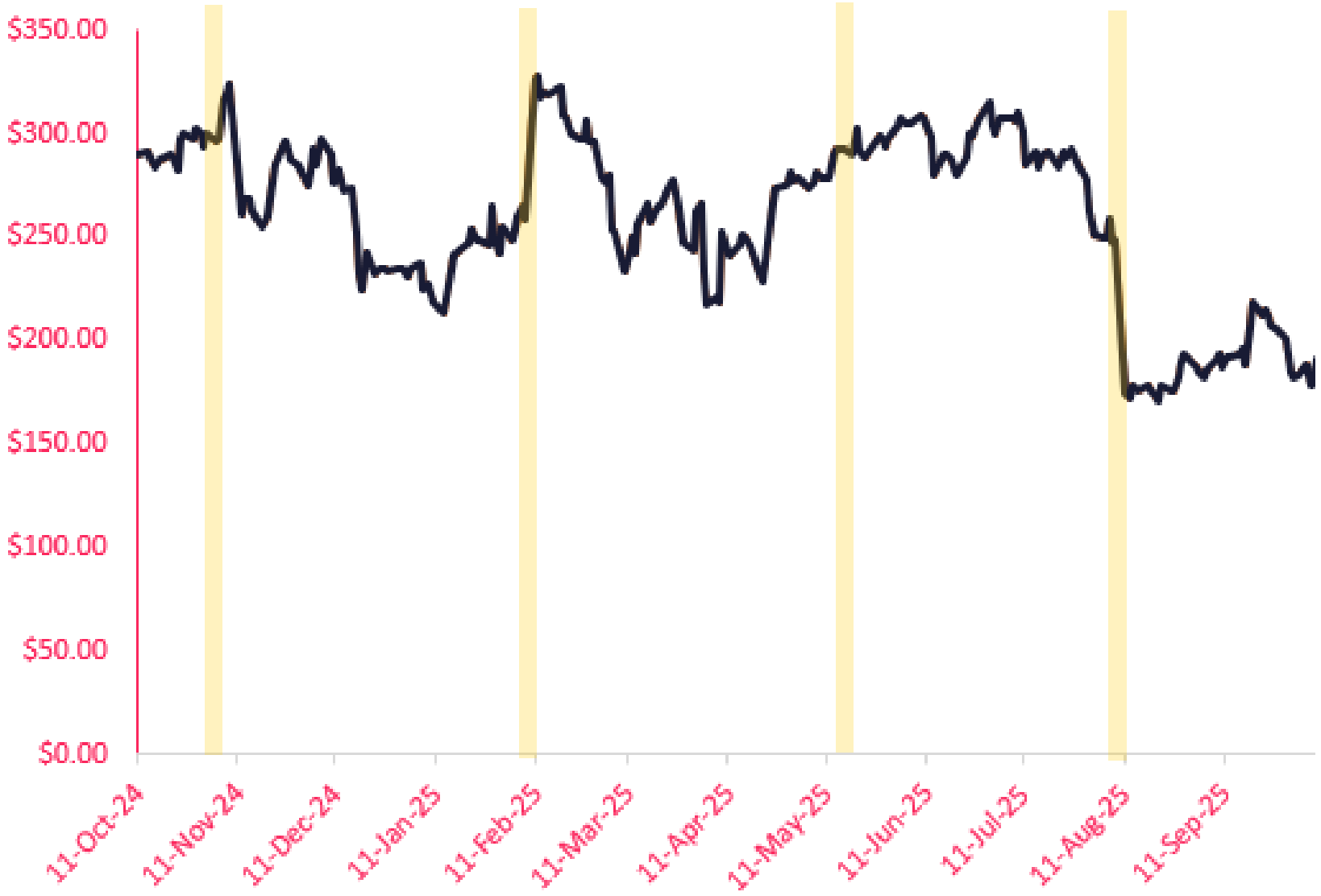
SaaS Market Growth



The AI-SaaS industry is entering a period of **maturity and concentration.** While SaaS remains structurally resilient—with its share of total software spend rising from ~34% in 2020 to over 60% by 2030—growth rates are slowing as **adoption saturates**. AI-powered SaaS is expanding rapidly, yet the market is dominated by a few **large-scale platforms** that benefit from scale, data access, and distribution, leaving small players facing steep entry barriers. As competition intensifies and the easy **cloud adoption tailwinds fade**, **valuation multiples across the sector are compressing**. For monday.com, these macro shifts translate to tougher customer acquisition, slower incremental adoption, and reduced pricing power despite continued investment in AI-driven products.

Sources: Bloomberg, Wells Fargo, Capital IQ, Microsoft Work Trend Index

Performance Trends



Q3 2024 (-20%):
Investors cautious about slow customer growth

Q4 2024 (26%):
Strong earnings beat and AI feature introduction with $1.1B revenue guidance

Q1 2025 (5%):
Neutral with revenue increase

Q2 2025 (-31%):
Implied slowing growth and margin compression

Sources: Yahoo Finance, monday.com

Valuation Disconnect and Market Mispricing

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Reverse DCF Model								
($ in millions)			2024A	2025E	2026E	2027E	2028E	2029E
Revenue			$972	$1,420.3	$2,075.3	$3,032.5	$4,431.0	$6,474.6
% Growth Rate	% 5-Year CAGR	46.12%	24.93%	46.12%	46.12%	46.12%	46.12%	46.12%
EBIT			($21)	$106.5	$311.3	$606.5	$1,107.8	$1,942.4
% EBIT Margin			-2.16%	7.50%	15.00%	20.00%	25.00%	30.00%
Less: Taxes	% Tax Rate	6.08%	0	($6.48)	($18.93)	($36.87)	($67.35)	($118.10)
NOPAT			**($21)**	**$100**	**$292**	**$570**	**$1,040**	**$1,824**
% NOPAT Margin			-2.16%	7.04%	14.09%	18.78%	23.48%	28.18%
Plus: D&A	% Capex	90.20%	11.9	$44.8	$65.5	$95.7	$139.9	$204.4
Less: Capex	% Revenue	3.50%	-13.2	$49.7	$72.6	$106.1	$155.1	$226.6
Less: Change in NWC	% Revenue	3.00%	11.29	$42.6	$62.3	$91.0	$132.9	$194.2
Free Cash Flow to Firm (FCFF)			**($34)**	**$53**	**$223**	**$468**	**$892**	**$1,608**
Discount Factor	% WACC	14.50%		1	2	3	4	5
Present Value of FCFF			**($34)**	**$46**	**$170**	**$312**	**$519**	**$817**

Implied DCF Valuation	
Present Value of FCFFs	$1,864
Long-Term Growth Rate	2.50%
Final Year FCF × (1 + g)	$1,648
Terminal Value in Final Year	$13,734
Present Value of Terminal Value	$6,978
Total Enterprise Value (TEV)	**$8,842**
Less: Net Debt	-77
Equity Value	**$8,765**

Share Price Calculation	
Diluted Shares Outstanding (mm)	51.55
Current Market Share Price	$183.57
Implied Growth Rate	**46.12%**

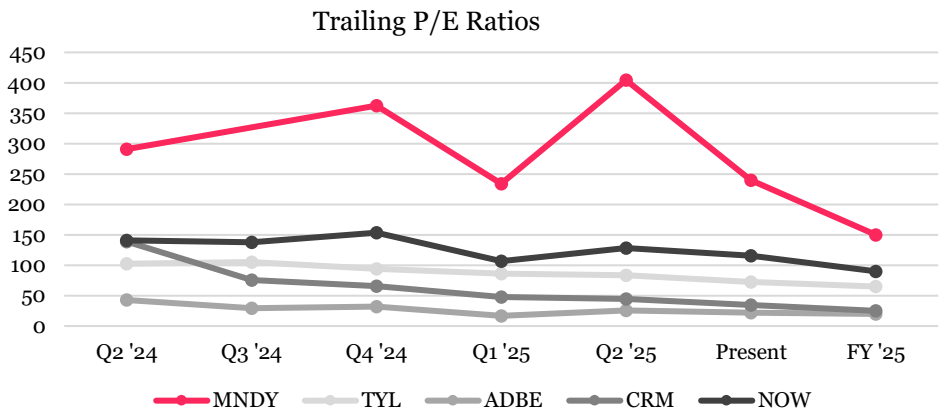
Assumptions

Tax Rate: As an Israeli based company, the effective tax rate yields 6.08%

Capital Expenditures: MNDY's dedication to AI will result in increased CAPEX in the future

WACC: Being funded almost entirely from Equity, WACC is high among peers

B2B Saas Overvaluation and Repricing



B2B SaaS and AI-integrating models surged on sentiment around scalability, not **real outcomes**. As seat-based pricing loses credibility, repricing is revealing how much growth rested on **hype over fundamentals**.

Monday.com Analyst Ratings	
Total Ratings	25
Strong Buys %	24.0%
Buys %	68.0%
Holds %	8.0%
Sells %	0.0%
Average Price Target	$269.5

Analyst coverage remains shallow, emphasizing inflated AI monetization and product releases tied to **short-term enthusiasm**. It fixates on minor NDR or enterprise client shifts while overlooking monday's **lack of differentiation** in a saturated market. Price targets above $260 rest on speculative optimism, with cross- and up-selling noted but lacking material productivity impact.

Sources: Bloomberg, S&P Capital IQ, Yahoo Finance

Gen AI and Monetization

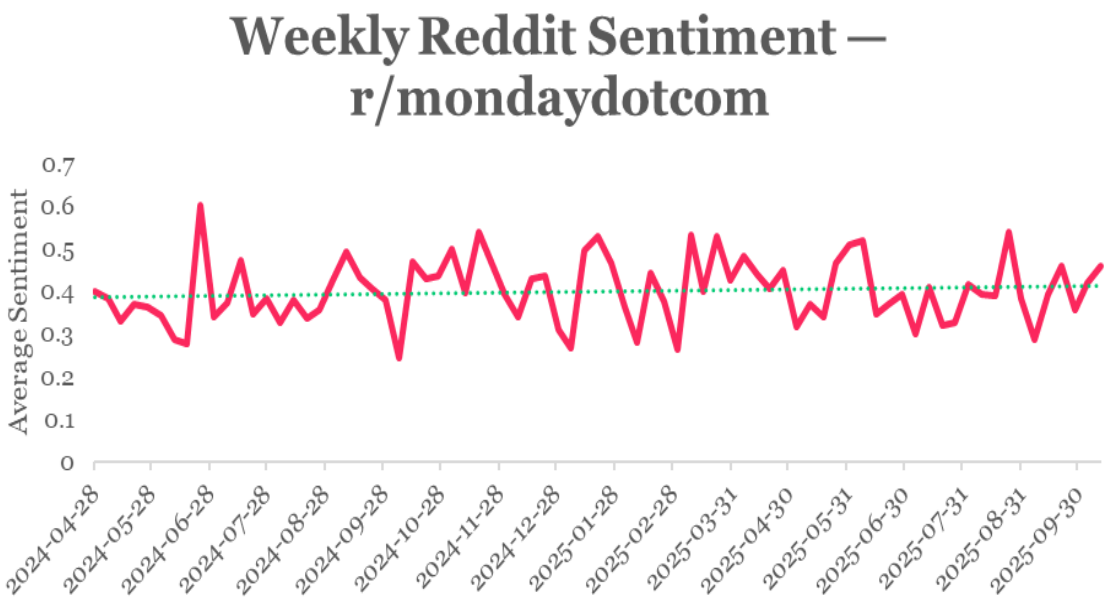
Specific AI Leveraging

Consumer Sentiment:

With a team with minimal coding experience, we leveraged Gen AI to develop a **sentiment scraper**. Seeing the advantage of understanding board user sentiment with no way to collect it, ChatGPT was able to bridge the knowledge gap a provide a basis for crafting a sentiment analysis using specific prompting.

Geographic Business Survivorship Data:

To quantify a total addressable market, we used Gen AI to take data from raw data sets provided by the World Bank. Aggregating the result of LLC survivorship from sources like the IMF and US Berau of Labor Statistics as well as Gross Domestic Product to estimate the number of new business in the world year over year to project a total addressable market for monday.



General AI Usage

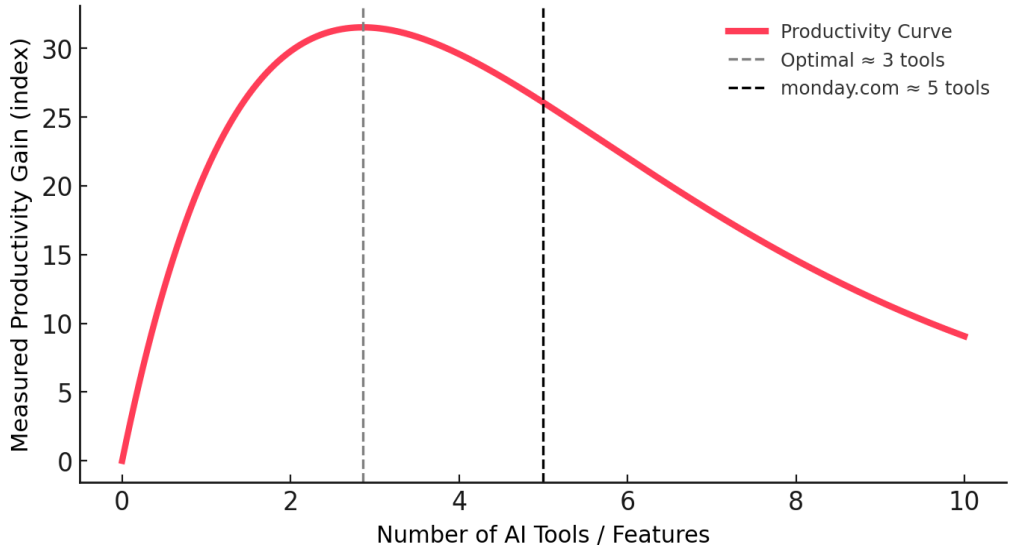
The use of Generative AI was prevalent throughout the creation of this presentation and accompanying model. Throughout the development, AI models like ChatGPT were used as tools to condense investor relations reports, researching industry averages, and using "Deep Research" to create base line assumptions for market penetration models. AI was used as a tool to bridge the gap on information not perinate or difficult to retrieve without significant time dedicated towards researching.

Thesis 1: AI Overreach

Theme	Evidence / Metric	Implication
Feature Proliferation	2025 platform-wide AI rollout introduced monday magic, monday vibe, monday sidekick + AI Agent Builder and monday Campaigns.	Fragmented UX and unclear value hierarchy.
Product Line Spread	monday CRM reached $100M ARR (Q2 2025) — now marketed as a standalone product.	Split GTM focus across verticals → dilution of core platform strategy.
Metric Optimization Focus	Q2 2025 revenue up 27% YoY, non-GAAP operating margin +11%.	Growth + efficiency emphasis = usage metrics over customer outcomes.
Complexity & Partner Reliance	Partner network expanded with new AI & Service specializations (2025).	Growing complexity requiring third-party enablement.
Ecosystem Saturation Risk	Multiple overlapping AI launches since 2024 → agent ecosystem expanding faster than adoption.	Feature fatigue and poor monetization conversion.

monday.com's rapid AI expansion aims to be the **"operating system for work,"** but its proliferation of overlapping AI tools and product lines risks creating AI overreach — more complexity, partner reliance, and metric-driven "productivity" than **tangible customer ROI**.

Productivity Paradox



Research across the modern workplace consistently shows that too many digital tools can **erode productivity rather than enhance it**. Studies by Asana (2022) and Microsoft (2024) found that knowledge workers switch between 9+ apps daily, with 63% reporting "AI or tool fatigue." Gartner (2023) estimates enterprises now manage over 300 SaaS applications, **creating integration gaps and data silos** that undermine efficiency. McKinsey (2023) further reports that context switching between platforms can **consume up to 40% of productive time**. These findings highlight that as technology stacks expand; coordination costs and cognitive load often offset the intended gains in productivity.

Sources: "The Productivity Paradox of Information Technology." (1993), Yerkes-Dodson Law

Thesis 2: Upscaling Efforts Masking Slowing Adoption

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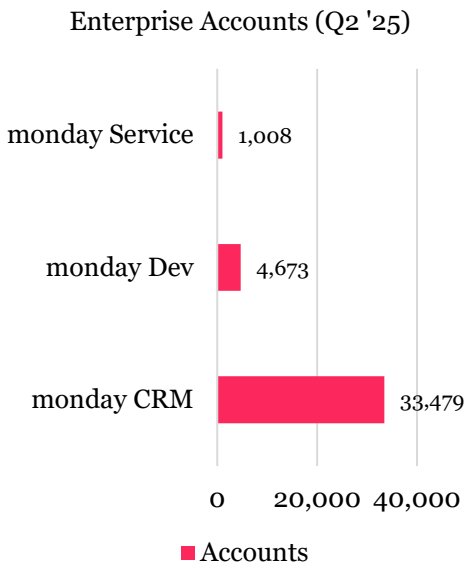
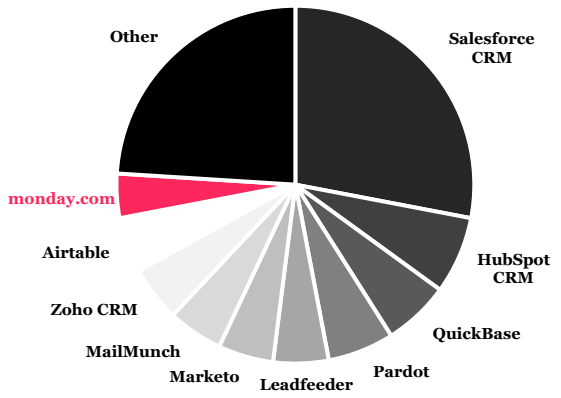
Suite Strategy vs Niche Penetration

Products + Users



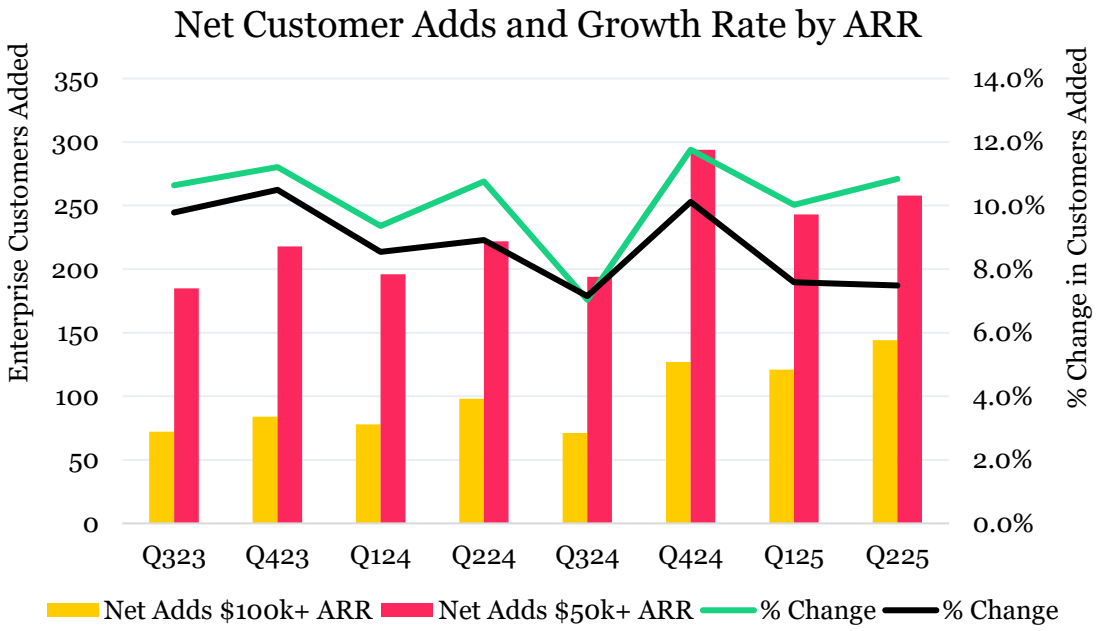
CRM Market Share



Go-to-market ambitions

Marginal positioning

Stagnant Net Add Growth



Expansion Without Uptake

Despite strong SMB positioning, its **full-suite**, upmarket strategy is outpacing enterprise adoption. **Only 6%** of customers leverage multiple products, reflecting ambitions that exceed realized demand. Tactical penetration efforts remain constrained and yielding minimal impact.

Flat Underlying Trajectory

Net customer additions have remained steady, even as monetization revenue, product innovation, and sales and marketing investment have grown exponentially. **Adoption trends haven't accelerated** at the same pace as these drivers, revealing a gap between scaling efforts and underlying demand.

Sources: Wells Fargo, Company Filings, Bloomberg

Thesis 3: SEO Disruption and Marketing Spend

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Marketing Spend

Excessive Spending

Marketing and Sales makes up **78% of SG&A expenses**, which is required to fuel heavy top-funnel marketing to offset the **undifferentiated product**, limiting margin expansions

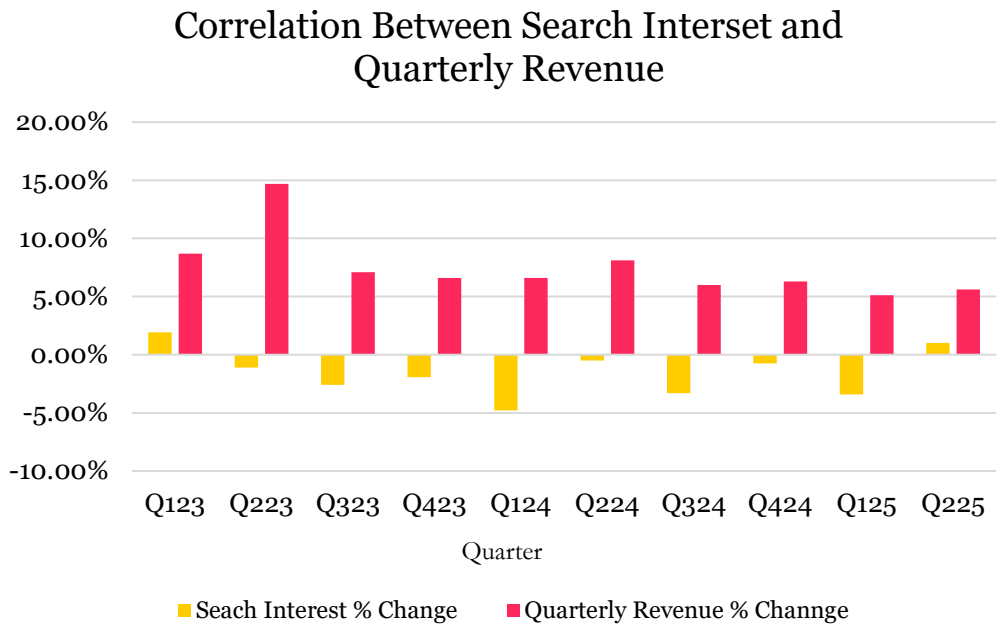
Ineffective Campaigns

Marketing Campaign "The First Work Platform You'll Love Using" presented a **brand equity mismatch**, mainly focusing on consumer audiences. MNDY's "Singing Llamas" commercial was trending on Reddit's r/CommericalsIHate with users finding it off-putting

Signaling Declining Elasticity

With recent marketing efforts and revenue increase, we can predict that MNDY's **marketing Beta of 1.40** will fall closer in line with the industry average of 0.2 which will decrease the market penetration of MNDY per dollar spent on marketing, increasing the money needed to increase customer base

Revenue Driven by Existing Customers



Uncorrelated Return on Marketing Spend

The correlation between monday.com's search interest and revenue growth was 0.25, suggesting a **weak relationship**. This further supports the thesis that new customers are not responsible for increases in revenue, instead, customer upscaling is the driver of revenue for monday.com.

Sources: Reddit.com, Google Trends

Valuation Framework and Scenario Analysis

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Bear Case

Bear PGM		
Enterprise Value	$	7,063
Equity Value	$	6,986
Out. Shares		51.5
Share Price	**$**	**135.7**

Bear Case Target		Weight
$135.65	x	40%

- AI workflow saturation limits differentiation and client growth
- Inefficient marketing drives low elasticity and stalled ARR

Base Case

Base PGM		
Enterprise Value	$	9,008
Equity Value	$	8,931
Out. Shares		51.5
Share Price	**$**	**173.4**

Base Case Target		Weight
$173.42	x	45%

- Improved marketing enables modest differentiation and steady client adds
- Gradual margin expansion supporting Mid-Cap range revenue growth

Bull Case

Bull PGM		
Enterprise Value	$	11,465
Equity Value	$	11,387
Out. Shares		51.5
Share Price	**$**	**221.1**

Bull Case Target		Weight
$221.11	x	15%

- Breakout marketing positions monday as a top enterprise suits
- Rapid enterprise growth boosts high-margin AR and profitability

Assumptions

Assumptions	
WACC	14.40%
Terminal Growth Rate	2.50%
Net Debt	$77
Beta	1.23

Weighted Price Target

$165.46

Timeline

Quarter 1 2026

Dual Horizon Short Timeline

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Q325

- Earnings release on November 10, 2025
- **Flat Client Adds:** Quarterly data shows slowing net adds and missed revenue growth
- **AI Productivity Fatigue:** Companies recognize limited ROI from "AI Workslop" tools
- **Marketing Misfires:** Marketing spending increases to claim market share with diminishing returns, highlights inefficient marketing spend

Short

Q425

- Earnings release on February 10, 2026
- **Competitive Pressures:** Established competitors like Salesforce, adapt current offerings to keep market share
- **AI Investments:** monday's reliance on AI technology advancements will translate to increased Capital Expenditures
- **Demand Reset:** Renewals expose weak product stickiness

Hold

Q126

- 20-F release on May 17, 2026
- **AI Market Correction:** Broader tech pullback after AI investments fail to see notable payoff at current spending
- **Revenue Plateau**: Limited Adoption caps revenue and ARR growth, revealing overreliance on upscaling
- **Valuation Realization:** Market reprices MNDY's growth story, capitalizing on Short Position

Short

Risks and Mitigants

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	Risk	*Mitigant*
Marketing as a Growth Lever	A strong **SEO recovery** could amplify MNDY's marketing reach, boosting brand visibility and driving greater retail and enterprise interest. Increased exposure across digital channels may reinforce its reputation and help attract **higher-quality enterprise leads**.	Exponential marketing spend can **erode operating margins**, limiting reinvestment in product development, internal expansion, and specialization. **Overreliance on external visibility** over organic adoption narrows strategic flexibility and weakens defensibility. In the long term, if investors prioritize **profitability** over growth narratives, sustained high spend could also constrain external investment.
Shifting Industry	Elevated sentiment and demand for AI solutions may persist, supported by investor confidence, chip concentration, and policy. **Early product maturity** could give MNDY more time to scale and build enterprise stickiness, delaying a potential plateau and valuation reset.	A shift in sentiment and regulatory focus could expose inflated AI narratives. Cultural recognition of **"fake productivity,"** political shifts, and heightened regulatory scrutiny may dampen enthusiasm around **weakly differentiated tools**, leading to sharper valuation corrections for companies like MNDY that rely on perception over durable adoption.
Revenue and Structural Drivers	New product releases and executive hires support an optimistic outlook, potentially driving contract growth and near-term revenue surges. Rising RPO as a share of revenue reinforces the appearance of **durable momentum**.	While rising RPOs can signal longer contracts and stronger visibility, they can also overstate demand since much is unbilled and **vulnerable to churn**. Combined with frequent product releases that often drive only temporary spikes in interest, this creates a sentiment-driven **illusion** of durable growth.